

measure of the Sharpe ratio, the standard deviation, will penalize exceptionally large gains. Using a return/risk measure such as the Gain to Pain ratio (see Appendix A for description), which employs a loss-based rather than volatility-based risk measure, the superior quality of Cornwall's performance is readily evident. Cornwall's Gain to Pain ratio is exceptionally high at 4.2 (5.2 based on gross returns).

I interviewed Mai in the conference room of Cornwall's office in three sessions spaced over a period of six months. We met after trading hours, with the longest interview conducted over a take-out dinner. Mai was friendly and open in discussing his trading strategies.

Note: Readers unfamiliar with options may find it useful to first read Appendix B, which provides a short primer on options, in order to better understand the trading related references in this chapter.



Did you have any reservations about participating as a subject in Michael Lewis's book *The Big Short*?

For sure. In fact, we originally had no interest in being profiled. When Michael approached us in 2009, Charlie and I were probably spending half our time on noninvestment work, trying to impact financial reform policy. We thought it was incredibly scary that nobody was talking about the fundamental structural flaws in credit derivatives that made the financial crisis so hard to resolve.

We were also talking to print and broadcast journalists to assist in their efforts to understand and communicate the forces responsible for the crisis. For example, when Michael first approached us, Charlie had recently provided extensive background information to NPR's *Planet Money* program. The episode they subsequently produced, called "The Giant Pool of Money," was a near-verbatim rendition of the story Charlie and I were telling to anyone who would listen.³ And at that time, not many people would.

So when Lewis came along, we talked to him openly. In his case, we provided a more technical narrative that focused on why subprime mortgage securitizations got so out of hand. While he asked to include us